



STAFF REPORT

Board Meeting Date:	April 21, 2026
Agenda Title:	Fiscal Year 2027 Budget Adoption
District Impact:	Countywide
Requested Action:	Adopt Fiscal Year 2027 Budget
Department / Agency Lead:	Office of Management and Budget
Staff Lead:	David Sinclair, Director

EXECUTIVE SUMMARY

Fiscal Year 2027 (FY2027) budget adoption is scheduled for April 21, 2026.

During budget recap on April 7, 2026, the proposed budget was funded at a real estate tax rate of \$0.886 per \$100 of assessed value. The total FY2027 general revenue estimate increased \$112,500 compared to the proposed budget presented in February which was based on a real estate tax rate of \$0.906. Of this amount, the County government share of the revenue increase was \$48,116 and the Schools' share was \$64,384 based on the County/Schools revenue sharing agreement. Additional general fund budget recap adjustments resulted in the proposed FY2027 budget having a remaining balance of \$193,410.

The Prince William Board of County Supervisors (BOCS) marked up the proposed FY2027 budget on April 14, 2026. The following adjustments were made during the markup session:

FY2027 Budget Markup - Tax Rate and Revenue Changes:

- **Real Estate Tax** – The real estate tax rate was reduced from the budget recap rate of \$0.886 to \$0.850 per \$100 of assessed value. The revenue impact is a \$48,508,000 decrease in real estate tax revenue compared to budget recap.
- **Business Tangible Personal Property Tax – Computer Equipment and Peripherals** – The business tangible personal property tax rate on computer equipment and peripherals was increased from \$4.15 to the advertised tax rate of \$4.50 per \$100 valuation. The revenue impact is a \$21,700,000 increase in personal property tax revenue compared to budget recap. During budget markup, the BOCS exempted the revenue generated by increasing the tax rate from \$4.15 to \$4.50 per \$100 valuation from revenue sharing with Prince William County Schools (PWCS). The entire \$21,700,000 revenue increase is a County government resource. This policy change is reflected in Item 7-C.
- **Food and Beverage (Meals) Tax** – The food and beverage tax rate was reduced from 3% to 2%. The revenue impact is a \$6,000,000 decrease in general revenue based on an implementation date of January 1, 2027 (half-year impact in FY2027). The full-year revenue decrease in FY2028 is \$12,400,000. Adjusting the food and beverage tax rate requires an amendment to the County

ordinance. The resolution adopting tax rates (Item 7-A) includes a clause directing the County Executive and County Attorney to amend the ordinance decreasing the food and beverage tax rate for the Board's consideration at a future date.

- Personal Property Tax & Penalties – Revenue from the personal property tax and penalties increased \$300,000 as the rate for the general classification category increased to \$4.50 per \$100 valuation.
- Interest on Taxes – Revenue from interest on taxes decreased \$50,000.
- General Revenue Changes Summary – The table below summarizes the aforementioned general revenue changes compared to budget recap and corresponding impacts to the County and Schools based on decisions during budget markup:

Revenue Source	Total	Schools	County
Real Estate tax rate at \$0.850	(\$48,508,000)	(\$27,761,128)	(\$20,746,872)
Computer Equipment/Peripherals tax rate at \$4.15	\$21,700,000	-	\$21,700,000
Food and Beverage tax rate at 2%	(\$6,000,000)	(\$3,433,800)	(\$2,566,200)
Personal Property General Classification & Penalties	\$300,000	\$171,690	\$128,310
Interest on Taxes	(\$50,000)	(\$28,615)	(\$21,385)
Net General Revenue Decrease	(\$32,558,000)	(\$31,051,853)	(\$1,506,147)

FY2027 Budget Markup – Changes to School Transfer:

- Transfer to Prince William County Schools (PWCS) – As shown in the table above, the County's transfer to PWCS resulting from budget markup decreases \$31,051,853 compared to budget recap. The Schools' share of general revenue through budget markup is \$1,087,989,229. This is a \$31,051,853 decrease compared to budget recap but a \$96,380,185 increase compared to the FY2026 adopted school transfer.

As reflected in agenda item 7-D (Budget and Appropriate Fiscal Year 2027 School Budget), PWCS has allocated the change in County funding to their operating fund.

FY2027 Budget Markup – Budget Reductions

- General Services Classification & Compensation Study – A total of \$15.4 million was removed from the FY2027 budget and moved to FY2028. Total funding programmed in FY2028 remains \$26.4 million.
- Information Technology – Splunk – A total of \$475,000 was removed from the budget for Splunk – a cybersecurity observation and data platform supporting monitoring, threat detection, and incident response.
- Aging Senior Center without Walls – A program manager position (1 FTE) was removed from the budget resulting in savings of \$136,911.

- Commonwealth's Attorney – Two Assistant Commonwealth's Attorney positions (2 FTE) were removed from the budget resulting in savings of \$320,647.
- Community Partners Program – The proposed increase for community partner competitive grants was reduced from \$425,000 to \$300,000 resulting in recurring savings of \$125,000.
- Community Partner - The Good News Community Kitchen – Community Partner funding for The Good News Community Kitchen was eliminated resulting in recurring savings of \$6,127.
- Community Services – Two positions (2 FTE), a Human Services Coordinator and a Senior Clinical Services Caseworker, were eliminated from the budget resulting in savings of \$237,824.
- Executive Management – Volunteer Coordinator & Liaison for Strategic Partnerships – The Volunteer Coordinator position (1 FTE) was eliminated with recurring savings of \$200,000.
- Executive Management – Green Fleet and Mobility Manager – The Green Fleet and Mobility Manager (1 FTE) was eliminated resulting in savings of \$169,626.
- Facilities & Fleet Management – OSHA Compliance Trainers – Two Education and Outreach Instructor positions (2 FTE) were eliminated from the budget resulting in savings of \$395,251.
- Facilities & Fleet Management – Security Technicians – Two Security Technician positions (2 FTE) were eliminated from the budget resulting in savings of \$449,240.
- Finance – Director of Finance – The Director of Finance position (1 FTE) was eliminated from the budget resulting in savings of \$300,000.
- Parks and Recreation - Occoquan Trail Maintenance – Recurring funding of \$116,000 for Occoquan trails maintenance consisting of 1.0 FTE was removed from the budget.
- Public Safety Communications – Deputy Director – The Deputy Director position (1 FTE) was eliminated resulting in savings of \$171,041.
- Public Health – Senior Code Enforcement Inspector – A Senior Code Enforcement Inspector position (1 FTE) was eliminated resulting in savings of \$107,815.

FY2027 Budget Markup - Budget Additions:

- Revitalization/Redevelopment/Assemblage Consultant Services – A total of \$5,000,000 was added for a one-time contribution to a new revitalization/redevelopment/assemblage fund associated with economic redevelopment, revitalization, and assembling land parcels for economic redevelopment.
- Purchase Development Rights (PDR) Program – \$1,000,000 was added at budget markup for a one-time contribution to the PDR program. This funding will be added to the \$1,000,000 provided in the

FY2025 budget for the preservation of undeveloped land.

- Police – Animal Services Center Animal Adoption Coordinator – An Animal Adoption Coordinator position (1 FTE) was added to the budget at a cost of \$106,067.
- Sheriff – Sheriff Deputies – A total of three Sheriff Deputies (3 FTE) with a starting date of January 1, 2027, were added to the budget at a cost of \$663,574. This amount includes one-time costs of \$475,200 for technology, equipment, and vehicles.

FY2027-2031 Five-Year Plan Available Capacity

After budget markup, the available budget capacity in the Five-Year Plan is shown in the table below. Staff recommends the remaining FY2026 balance of \$126,656 be included in the contingency budget to provide for unanticipated needs that arise during the fiscal year. The resulting contingency budget is \$1,626,656 and the FY2026 budget is balanced.

	FY2027	FY2028	FY2029	FY2030	FY2031
Available Capacity	\$11,148,629	\$1,173,220	\$2,618,642	\$1,031,563	\$298,891

Budget Highlights in Budget Adoption Resolutions

- Tax Rates – The markup budget is funded at a real estate tax rate of \$0.850 per \$100 of assessed value in FY2027. The business tangible personal property tax rate on computer equipment and peripherals is \$4.50 per \$100 valuation. The business tangible personal property tax rate for the general classification is also \$4.50 per \$100 valuation. The personal property tax rate for vehicles is \$3.50 per \$100 valuation.
- Fire Levy Rate – Funding Fire and Rescue system-wide initiatives requires a levy rate of \$0.070 per \$100 of assessed value in FY2027.
- Mosquito and Forest Pest Management Levy – Funding the mosquito and forest pest management program in the Department of Public Works requires a levy rate of \$0.0020 per \$100 of assessed value in FY2027.
- Stormwater Management Fee – The stormwater management fee will be \$67.28 for single family homes and \$50.46 for townhouses, apartments, and condominiums.
- Solid Waste Fee – The solid waste fees will be \$84.00 for single family homes, \$75.60 for townhouses, \$67.20 for mobile homes, and \$56.20 for apartments and condominiums.
- Development Fees – Development fee schedules will increase as follows: Land Use Application (zoning, rezoning, and special use permit) fees will increase 15.0%, Land Development fees will increase 8.5%, Fire Marshal's Office fees will increase 7.0%, and Building Development fees will increase 3.5%.

Budget Adoption Resolutions

The following resolutions and ordinances adopt the FY2027 Budget:

- 7-A. Adopt Fiscal Year 2027 Real Estate Property Tax Levy, Fire Levy, Personal Property Tax Levies, Business, Professional and Occupational License Tax Levies, Motor Vehicle License Tax Levies, Personal Property Tax Relief, Special District Levies, and Parks and Recreation Fees to Support the Fiscal Year 2027 All Funds Budget
- 7-B. Adopt Fiscal Year 2027 Stormwater Management Fees, Solid Waste User Fees, Land Development Application Review and Inspection Fees, Land Use Application (Zoning, Rezoning and Special Use Permit) Fees, Building Development Fees and Fire Marshal's Office Fees to Support the Fiscal Year 2027 All Funds Budget
- 7-C. Adopt and Implement a New Tax Policy for Additional Tangible Personal Property Tax Rates on Programmable Computer Equipment and Peripherals Employed in a Trade or Business and Computer Equipment and Peripherals Used in a Data Center in Relation to the Revenue Sharing Tax Policy with Prince William County Schools
- 7-D. Budget and Appropriate the Fiscal Year 2027 All Funds Budget and Adopt the Fiscal Year 2027-2032 Capital Improvement Program
- 7-E. Budget and Appropriate Fiscal Year 2027 School Budget
- 7-F. Budget, Appropriate and Transfer Fiscal Year 2027 Transit Special Revenue Fund
- 7-G. Authorize Amendments to the Position Classification Plan and Pay Plan in Accordance with the County's Adopted Compensation Policy
- 7-H. Authorize Continuation of the Hiring Incentives Plan for Hard to Fill Positions with Recommended Changes and Authorize Changes to the Incentivized Retention Period for the Adult Detention Center Sworn Personnel
- 7-I. Authorize the Contribution of Fiscal Year 2027 Operating Surplus to Maintain the Required Fund Balances Identified in the Principles of Sound Financial Management and Designate Fiscal Year 2026 General Revenue Surplus to Unassigned Fund Balance
- 7-J. Adopt Fiscal Year 2027-2031 Five-Year Plan
- 7-K. Establish Board of County Supervisors' Maximum Annual Compensation Effective January 1, 2028
- 7-L. Amend the Fiscal Year 2027 Fiscal Plan to Budget and Appropriate the Remaining Balance of \$1,142,840,551 for Estimated Encumbered Purchase Orders and Contracts, Estimated Unencumbered Operating Initiatives, Capital Construction Project and Grant Project Balances, Estimated Non-Capital Small Project Construction Balances, Economic Development Opportunity

Fund Grants, and the Estimated Unencumbered Community Services Balances Supported by State
and Federal Revenue as of June 30, 2026

STAFF CONTACT INFORMATION

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